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General Letter GL–17-030 revision (C) 30/08/2017

To: ***Service Managers (cc Dealer Principals)***

Subject **Warranty Labour Rate Incentive (20% increase)**

MMAL is pleased to announce the FY2017 20% Warranty Labour Rate Incentive (WLRI). This incentive will be effective from July 2017, with some minor revisions to improve the program.

The WLRI will provide a 20% increase to the top 30 Dealers who meet all mandatory criteria. These Dealers will have their warranty labour rate increased for a 3 month period.

This year's incentive increases the focus on Service CSI, introducing a new scoring criteria for Service Area Appearance (Question 2 on the Service CSI Survey).

Additional points will also be available for participation in the Service Loan Car Program.

This year's Scoring Criteria is as follows:-

1. CPS PMA Service Retention (12month/15,000km) "In-Network"
2. Hard Parts Sales
3. Service Manager Meeting and Foreperson's Meeting Attendance
4. DQR and TSR Submission
5. Warranty 1st Submission Rate
6. Service Technical Training Achievement
7. Service Skills Program Participation and Achievement
8. Service CSI
9. Service Area Appearance (Question 2 on the Service CSI Survey)
10. Service Data Entry (such as RO Count)
11. Service Loan Car Program Participation

Full details of mandatory requirements (minimum standards) and key scoring criteria are attached for your reference and action.

A quarterly report will be provided on the SAP Portal as a final measure for Dealers to review and identify areas for improvement. A General Letter will also be published each quarter to announce the top 30 Dealers who achieved the increase.

This incentive will be a great opportunity to drive Customer Satisfaction and Service Revenue for those Dealers who strive to achieve.

Yours sincerely,
Mitsubishi Motors Australia Limited



Yasuhiro Oda
Deputy Director, Aftersales

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FY2017 20% Warranty Labour Rate Incentive Program

The FY2017 20% Warranty Labour Rate Incentive Program aims to recognise Dealers that are focussed on Service performance in areas of Dealer profitability, product knowledge and Customer Satisfaction.

Mandatory Criteria

A Dealer must meet the following criteria to be eligible to receive the incentive:-

1. The Dealer's CPS "in-network" Service Retention for the 12month/15,000km capped price service (first retail opportunity) must show positive improvement for the quarter up to the CPS Service Retention target set per Dealer category. The data used will be the CPS claims received by MMAL.
2. Hard Parts Sales Target Achievement for the quarter.
   MMAL Parts Sales Data will be used at the end of each month.
3. Service Manager (or delegate) must attend half-yearly Regional Service Manager Meeting.
4. Foreperson (or delegate) must attend foreperson's meeting that is held quarterly (at least one attendance in the last 6 months).
5. Warranty 1st Submission Rate must be better than 87% for quarter.
6. Dealer Service CSI score is above Target or improving quarter on quarter.
7. Service CSI Area Appearance (Question 2 on the Service CSI Survey) score is above Target or improving quarter on quarter. This target will be the same as the CSI Target.
8. Service Data Information must be submitted via Survey Monkey as requested. To be submitted by 5th calendar day of each month (starting with July data submitted by August 5Th) for Retail RO, Internal RO, and Warranty RO Counts.

For all quarter basis criteria such as 1) CPS "in-network" service retention, 6) Service CSI, and 7) Service CSI facility, the first quarter (Jul-Aug-Sep 2017) is compared with data from Apr-May-Jun 2017.

Scoring Matrix

The scoring for each quarter will be based on the following:-

Items	Score Weighting
Service CSI	30% (300 points)
Service CPS Retention	20% (200 points)
Service CSI (Service Area Appearance)	15% (150 points)
Service Technical Training and Service Skill Program	15% (150 points)
Technical (DQR/TSR) and Foreman meeting attendance	5% (50 points)
Service Manager meeting attendance	5% (50 points)
*Warranty 1st Submission Rate	5% (50 points)
Hard Parts Sales Target Achievement	5% (50 points)
Loan Car Program (additional)	5% (50 points)

*With the introduction of the new Warranty Portal in August 2017 we will award 50 points for all Dealers the for Quarter 2 period to accommodate any claim processing difficulties.

Dealers will be ranked on a quarterly basis and the "top 30" Dealers (that meet mandatory criteria) will be awarded a 20% increase of their warranty labour rate for the next quarter.

Note:

- The 20% incentive rate will be added to the Dealer's current base warranty labour rate as recorded in SAP. The 20% incentive is not accumulative. (Base warranty labour rate is without any previous quarters 20% increase if applicable).

Award Timing
The Dealer performance and scoring will be completed each quarter as follows:-

- ~~Quarter 1 result will be scored during July 2017 (for April to June)~~
- Quarter 2 result will be scored during October 2017 (for July to September)
- Quarter 3 result will be scored during January 2017 (for October to December)
- Quarter 4 result will be scored during April 2018 (for January to March)

The 20% Warranty Labour Rate Incentive will then apply for (respectively):-

- ~~Quarter 1 incentive will be paid from August 2017 to October 2017~~
- Quarter 2 incentive will be paid from November 2017 to January 2018
- Quarter 3 incentive will be paid from February 2018 to April 2018
- Quarter 4 incentive will be paid from May 2018 to July 2018

Dealer results will be posted for individual Dealers onto the SAP Dealer Portal at the end of each quarter measurement period.

All Enquiries regarding the 20% Warranty Labour Rate Incentive Program should be discussed with your MMAL Regional Service Representative in the first instance.
Once the awarded 20% warranty labour rate incentive is completed in each quarter, the labour rate will be returned to the normal rate (the incentive not to be accumulated)

Data Sources and Dealer Requirements
Data used for the final score ranking will be sourced from:-

- SAP
- MVP
- Survey Monkey
- Dealer Reports (via end of month Survey)
- MOTOR
- Service Training Department
- Service Training TNA records
- TSR system
- DQR system
- Warranty system
- Relevant MMAL Departments (as required for points deductions)
- Op2ma (Service CSI)

Please Note:
Accuracy of data is the responsibility of the relevant Dealer and "no correspondence" will be entered into regarding final scores and outcomes.

Points Scoring Matrix

Service CSI / CPS Retention — ***Max. 650 points/quarter**

Service CSI

Data from CSI Portal (if target achieved, either 300 or 200 is given based on final CSI score)	Points	Q1	Q2	Q3	Q4
CSI result 2 Points above Target (Metro-77, Provintial-78, and Rural-79)	**300***	N/A	300	300	300
CSI result above Target (Metro-75, Provintial-76, and Rural-77)	200	N/A	200	200	200
CSI result below Target, but improved from previous quarter	100	N/A	100	100	100

CPS PMA In-Network Retention - 1st Retail Service (12 month/15,000km)**

Data from CPS claims submitted (Target: 60%)	Points	Q1	Q2	Q3	Q4
Over-achieved Dealer CPS Target by 10% or above	**200***	N/A	200	200	200
Over-achieved Dealer CPS Retention Target between 5% to 10%	100	N/A	100	100	100
Over-achieved Dealer CPS Retention Target between 0% to 5%	50	N/A	50	50	50

**: PMA In-Network Service Retention = Total Services (in PMA + Ex PMA + Pump in PMA Service) / Total PMA Sales (In PMA Sales + Pump in PMA Sales)

Service CSI – Service Area Appearance (Question 2 on the Service CSI Survey)

Data from CSI Portal	Points	Q1	Q2	Q3	Q4
CSI result above Target (Metro-85, Provintial-87, and Rural-90)	**150***	N/A	150	150	150
CSI result below Target, but improved from previous quarter	50	N/A	50	50	50

Service Training Targets — ***Max. 150 Points/quarter**

Service Technician Training Attendance – Data from SAP and Regional Trainer	Points	Q1	Q2	Q3	Q4
100% of YTD Training Days Target (or higher) achieved	**50***	N/A	50	50	50
90% to 99.9% of YTD Training Days Target (or higher) achieved	30	N/A	30	30	30
80% to 89.9% of YTD Training Days Target (or higher) achieved	10	N/A	10	10	10

Service Adviser Training– Data from SAP and Regional Trainer	Points	Q1	Q2	Q3	Q4
Minimum of 1 Service Staff to have completed all 3 Service Adviser Courses	**50***	N/A	N/A	50	50

Service Manager Training – Data from SAP and Regional Trainer	Points	Q1	Q2	Q3	Q4
Minimum of 1 Service Manager per Dealer completes Service Manager Training	**50***	N/A	N/A	50	50

Service Technical — *Max. 100 Points/quarter

Service Manager Meeting Attendance

Data from SAP and Regional Trainer	Points	Q1	Q2	Q3	Q4
Service Manager (or Delegate) attends half-yearly meeting	**50***	50	N/A	50	N/A

Service Technical Support

Data compiled by Technical Support and field Service Dept.	Points	Q1	Q2	Q3	Q4
Foreperson Meeting Attendance	**50***	50	50	50	50
DQR Submission (quality/quantity measurement)					
TSR Submission (quality/quantity measurement)					

To be eligible for Service Technical point allocation, Dealer staff must be registered as per General Letter # GL-15-012.

Warranty — *Max. 50 Points/quarter

Warranty 1st Submission Rate

Data compiled by Warranty Department	Points	Q1	Q2	Q3	Q4
Warranty Accepted at 1st Submission Above 87%	**50***	N/A	50	50	50

Hard Pars Sales — *Max. 50 Points/quarter

Hard Parts Sales Target Achievement

Data from MVP/Dealer Report	Points	Q1	Q2	Q3	Q4
Hard Parts Sales Target Achieved	**50***	N/A	50	50	50

Loan Car — *Max. 50 Points/quarter

Loan Car Program (Additional)

Data from Sales Department	Points	Q1	Q2	Q3	Q4
A Number of Cars By MMAL Loan Car Program (2 Points per 1 Car, Max 50 Points with 25 Cars)	**50***	N/A	50	50	50

A number of loan cars for each dealer to be examined at the end of Sep 2017 for Q2 Incentive.
The same to be examined at the end of Dec 17 for Q3 and the end of Mar 18 for Q4.